OVH Mentorship

Meeting

Date: June 13, 2024

Contents

- Product Offering and Pricing
- Business Plan Financial Projections
- Cost Estimate

Product Offering and Pricing

Product Features

AMBIENT SYSTEMS

	FinTech Product	Deep Tech Product
General Features		
Cloud-Based Web Platform	✓	✓
Data connection	✓	✓
Dashboard Visualization	✓	✓
PDF Reports	✓	✓
AI-supported Data Verification	✓	✓
AI-supported Financial Planning	✓	✓
Financial Metrics	✓	X
Financial Plan	✓	X
Deep Tech Features		
Internet-of-Things Sensor Data	X	✓
Operational Metrics Tracking	X	✓
Custom AI Models	X	✓

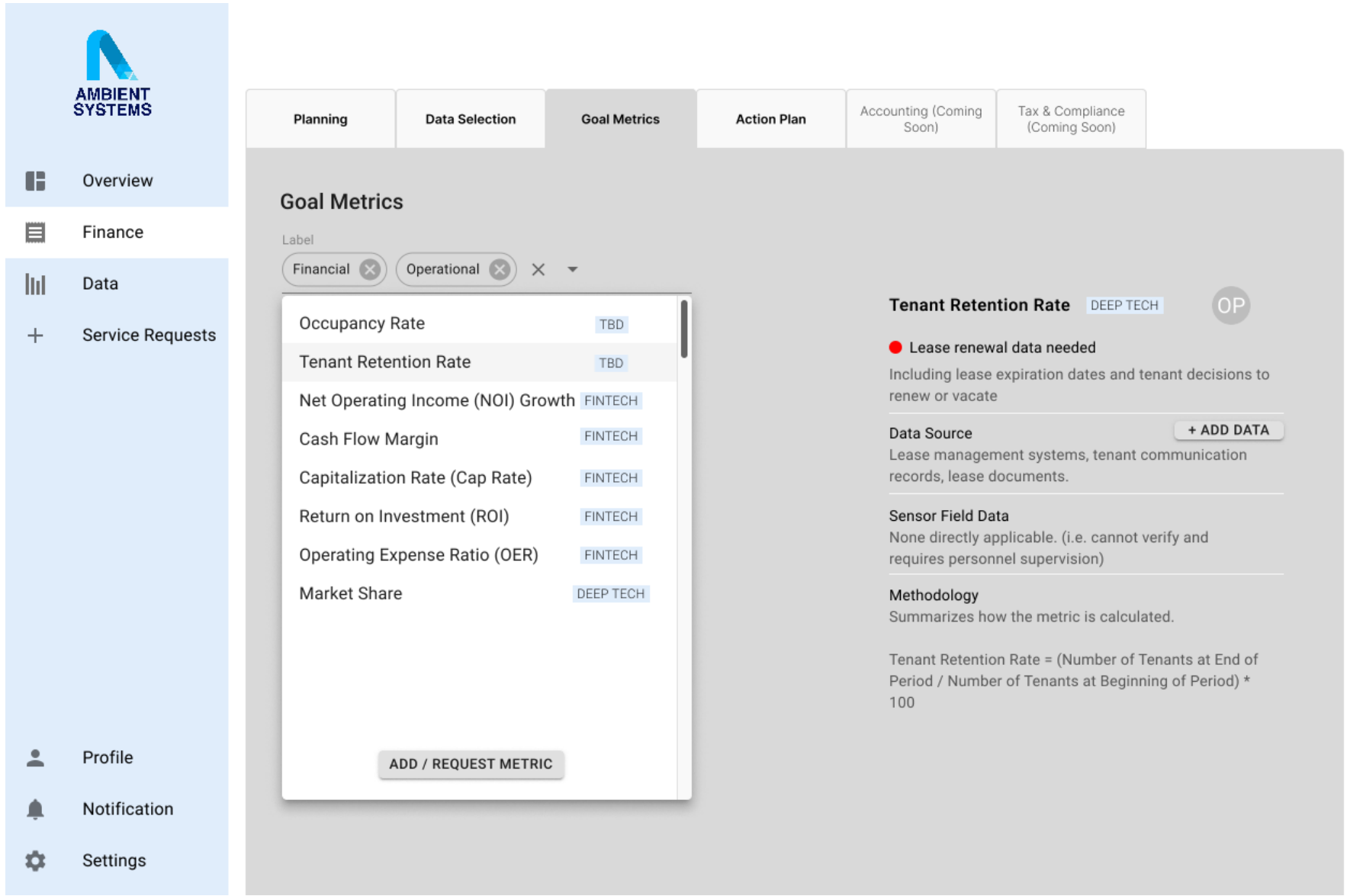
Pricing Models for fintech platform and AI services.

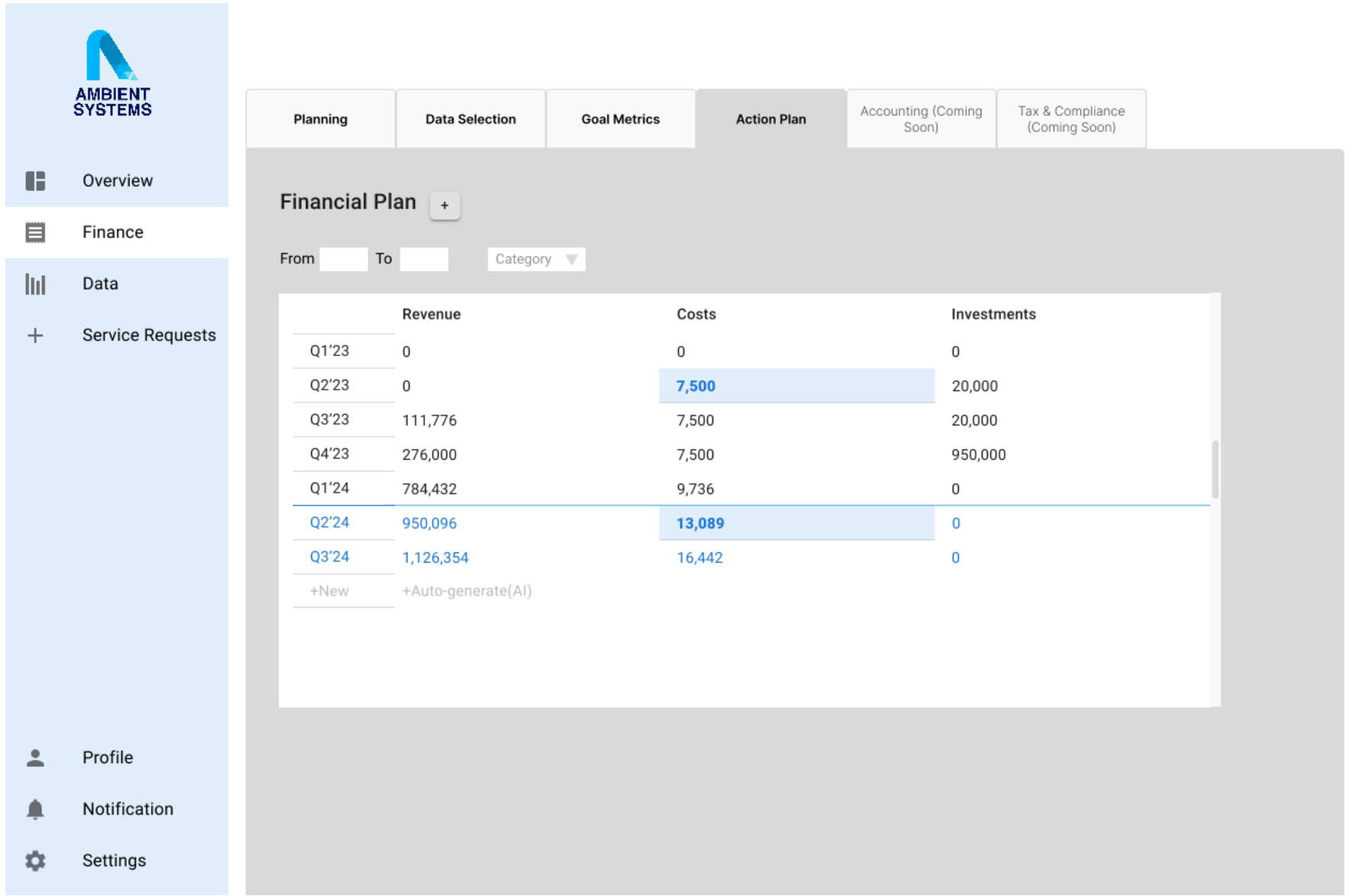
- Fintech Platform (e.g., access metrics, calculate metrics, create a financial projection plan): $100 / month
- AI services (e.g., model scoping, data validation, model notebook, output formatting)
  - lump sum: ($20k - $25k for initial deployment + $ for additional customizations)
  - hourly rates:
    - Data engineer:
    - Data scientist:
    - Developer:

Example: Financial Planning in Real Estate

Real Estate Metrics with units

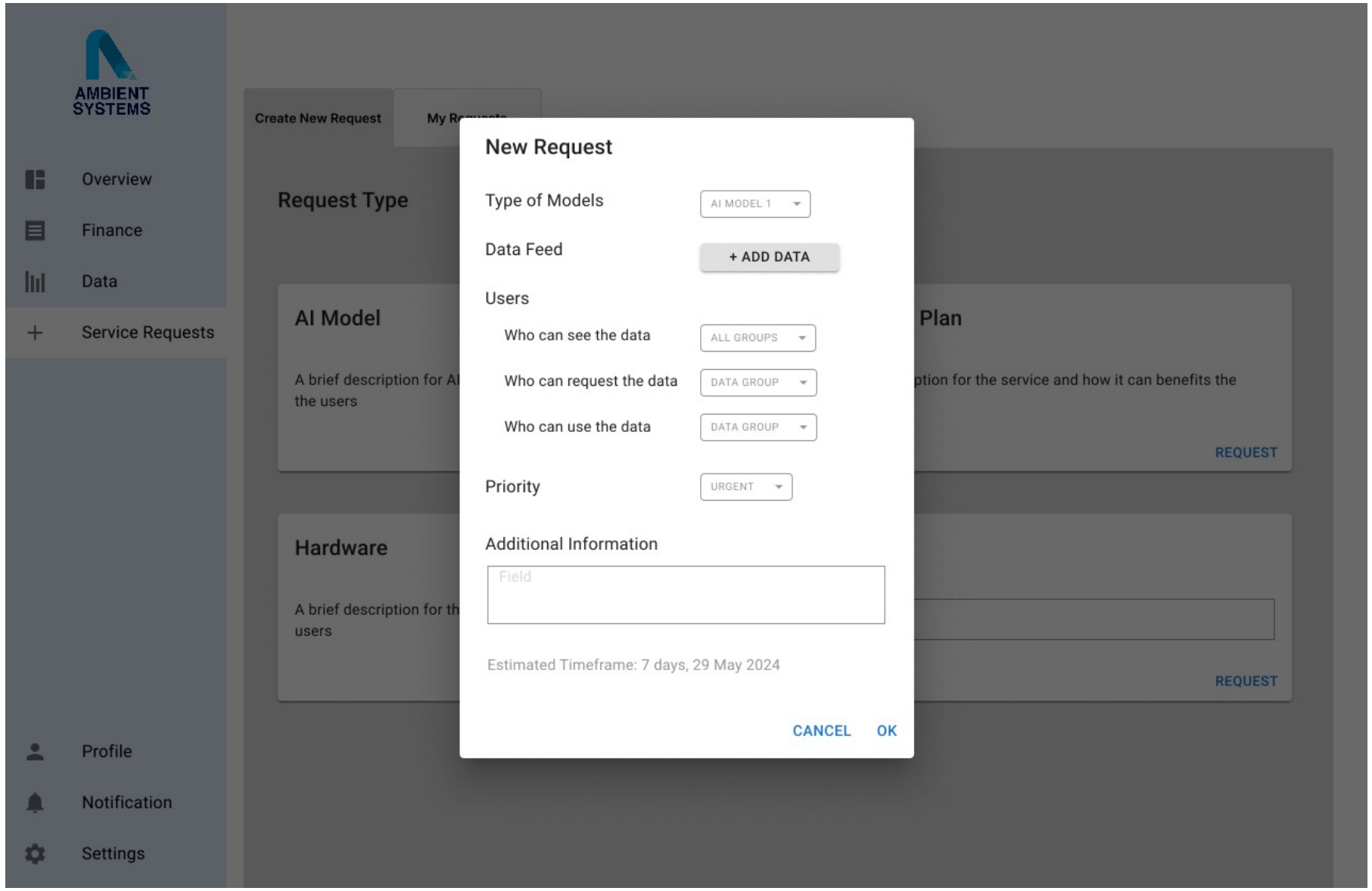
Metric	Range (Low - High)	Unit	Current Considerations
Return on Investment (ROI)	-100% (loss) - 30%+	Percentage	Highly dependent on property type, market conditions, and investment strategy
Net Operating Income (NOI)	Negative (loss) - High (profitable property)	Currency (e.g., USD)	Rising construction costs and interest rates may affect NOI
Capitalization Rate (Cap Rate)	2% (low) - 10%+ (high)	Percentage	Lower cap rates indicate stronger investment potential, but may reflect higher risk
Cash Flow	Negative (loss) - High (positive cash flow)	Currency (e.g., USD)	Interest rate hikes can negatively impact cash flow
Cash-on-Cash Return	Negative (loss) - 20%+	Percentage	Attractive returns depend on factors like down payment and financing
Gross Rent Multiplier (GRM)	5 (low) - 15+ (high)	Number	Lower GRM suggests a potentially overpriced property, while a very high GRM might indicate below-market rents
Loan-to-Value Ratio (LTV)	0% (cash purchase) - 80%+ (high leverage)	Percentage	Stricter lending standards in some areas may limit LTV ratios
Debt Service Coverage Ratio (DSCR)	Less than 1 (unsustainable debt) - 1.25+ (healthy coverage)	Number	Lower DSCR indicates higher risk of defaulting on loan payments
Vacancy Rate	0% (no vacancies) - 10%+ (high vacancy)	Percentage	Tight housing markets may have very low vacancy rates, while weaker markets might see higher vacancies


AMBIENT SYSTEMS
Overview
Finance
Data
Service Requests
Profile
Notification
Settings
Planning
Data Selection
Goal Metrics
Action Plan
Accounting (Coming Soon)
Tax & Compliance (Coming Soon)
Goal Metrics
Label
Financial
Operational
Occupancy Rate TBD
Tenant Retention Rate TBD
Net Operating Income (NOI) Growth FINTECH
Cash Flow Margin FINTECH
Capitalization Rate (Cap Rate) FINTECH
Return on Investment (ROI) FINTECH
Operating Expense Ratio (OER) FINTECH
Market Share DEEP TECH
ADD / REQUEST METRIC
Tenant Retention Rate DEEP TECH
OP
Lease renewal data needed
Including lease expiration dates and tenant decisions to renew or vacate
Data Source
+ ADD DATA
Lease management systems, tenant communication records, lease documents.
Sensor Field Data
None directly applicable. (i.e. cannot verify and requires personnel supervision)
Methodology
Summarizes how the metric is calculated.
Tenant Retention Rate = (Number of Tenants at End of Period / Number of Tenants at Beginning of Period) * 100


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Action Plan
Accounting (Coming Soon)
Tax & Compliance (Coming Soon)
Financial Plan
+
From
To
Category
Revenue
Costs
Investments
Q1'23 0 0 0
Q2'23 0 7,500 20,000
Q3'23 111,776 7,500 20,000
Q4'23 276,000 7,500 950,000
Q1'24 784,432 9,736 0
Q2'24 950,096 13,089 0
Q3'24 1,126,354 16,442 0
+New
+Auto-generate(AI)

Example: Vertical Farm

Request Type	Request Details	Datasets	Time to Develop	Time to see Results	Benefit/Output (metric)	
AI	Improve Yield Via Climate	Sensors BMS Plant Imaging			25% higher yield + 15% lower energy costs	
Report	Decarbonization Report				+ 70% lower	
Raw Data	IoT Sensors Data	Soil conditions			TBD	
...						


AMBIENT SYSTEMS
Overview
Finance
Data
Service Requests
Profile
Notification
Settings
Create New Request
Request Type
AI Model
A brief description for AI
the users
Hardware
A brief description for th
users
Plan
ption for the service and how it can benefits the
REQUEST
REQUEST
New Request
Type of Models
AI MODEL 1
Data Feed
+ ADD DATA
Users
Who can see the data
ALL GROUPS
Who can request the data
DATA GROUP
Who can use the data
DATA GROUP
Priority
URGENT
Additional Information
Field
Estimated Timeframe: 7 days, 29 May 2024
CANCEL
OK

Financial Projections

First Year Forecasted Sales

	Months												
Name	**1**	**2**	**3**	**4**	**5**	**6**	**7**	**8**	**9**	**10**	**11**	**12**	**Total**
Ambient Core	$38	$38	$38	$39	$39	$40	$40	$40	$41	$41	$42	$42	$483
Ambient Ascend	$99	$99	$100	$101	$103	$104	$105	$106	$107	$108	$109	$110	$1.3K
Ambient Ascent AI	$333	$336	$339	$343	$346	$349	$353	$357	$360	$364	$367	$371	$4.2K
Ambient Insight Engine	$11.1K	$11.2K	$11.3K	$11.4K	$11.6K	$11.7K	$11.8K	$11.9K	$12K	$12.2K	$12.3K	$12.4K	$140.9K
Total	$11.6K	$11.7K	$11.8K	$11.9K	$12.1K	$12.2K	$12.3K	$12.4K	$12.5K	$12.7K	$12.8K	$12.9K	$146.9K


Revenue
Variable Costs
Fixed Costs
Cash Balance
$47,500
$38,000
$28,500
$19,000
$9,500
0
-$9,500
1
2
3
4
5
6
7
8
9
10
11
12
Month

Products/Services	Cost
Ambient Core	$49/Month
Ambient Ascend	$99/Month
Ambient Ascent AI	$999/Month
Ambient Insight Engine	$100,000/Service

First Year Forecasted Cash Flow

	Months												
Name	**1**	**2**	**3**	**4**	**5**	**6**	**7**	**8**	**9**	**10**	**11**	**12**	**Total**
Opening Cash Balance	$0	$2.6K	$5.3K	$8.2K	$11.1K	$14.1K	$17.3K	$20.6K	$24K	$27.5K	$31.1K	$34.9K	
Revenues													
Ambient Core	$38.1	$38.5	$38.9	$39.3	$39.7	$40.1	$40.5	$40.9	$41.3	$41.7	$42.1	$42.5	$483.3
Ambient Ascend	$99	$100	$101	$102	$103	$104	$105.1	$106.1	$107.2	$108.3	$109.4	$110.5	$1.3K
Ambient Ascent AI	$333	$336.3	$339.7	$343.1	$346.5	$350	$353.5	$357	$360.6	$364.2	$367.8	$371.5	$4.2K
Ambient Insight Engine	$11.1K	$11.2K	$11.3K	$11.4K	$11.6K	$11.7K	$11.8K	$11.9K	$12K	$12.2K	$12.3K	$12.4K	$140.9K
Fixed Costs													
Rent	$3K	$3K	$3K	$3K	$3K	$3K	$3K	$3K	$3K	$3K	$3K	$3K	$36K
Payroll (Incl. Taxes & Insurance)	$5K	$5K	$5K	$5K	$5K	$5K	$5K	$5K	$5K	$5K	$5K	$5K	$60K
Utilities	$100	$100	$100	$100	$100	$100	$100	$100	$100	$100	$100	$100	$1.2K
Software Subscription	$100	$100	$100	$100	$100	$100	$100	$100	$100	$100	$100	$100	$1.2K
Bank Fees	$50	$50	$50	$50	$50	$50	$50	$50	$50	$50	$50	$50	$600
Variable Costs													
Ambient Core	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0
Ambient Ascend	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0
Ambient Ascent AI	$166.7	$168.3	$170	$171.7	$173.4	$175.2	$176.9	$178.7	$180.5	$182.3	$184.1	$185.9	$2.1K
Ambient Insight Engine	$555.6	$561.1	$566.7	$572.4	$578.1	$583.9	$589.7	$595.6	$601.6	$607.6	$613.7	$619.8	$7K
Closing Cash Balance	**$2.6K**	**$5.3K**	**$8.2K**	**$11.1K**	**$14.1K**	**$17.3K**	**$20.6K**	**$24K**	**$27.5K**	**$31.1K**	**$34.9K**	**$38.7K**	

Fixed	Period	Cost
Rent	Monthly	$3K
Payroll (Incl. taxes & Insurance)	Monthly	$5K
Utilities	Monthly	$100
Software Subscription	Monthly	$100
Bank Fees	Monthly	$50
Total:		**$8.25K**

Variable	Per Unit	Cost
None	$0	~$0
Programming Fees	$500	~$2.14K
Cost of Production	$5K	~$7.12K
Total:		**~$9.25K**
Final Cost:		**$17.5K**


Cost
Loss
Break-Even
Revenue
Profit
$21K
$17.5K
$14K
$10.5K
$7K
$3.5K
$0
0
0.7
1.4
2.1
2.8
4
Variable Costs
Fixed Costs
Units

Break Even Data

Revenue	Total Cost	Variable Cost	Fixed Cost
$10,423	**$8,900**	**$650**	**$8,250**

Product	Units
Ambient Core	1
Ambient Ascend	1
Ambient Ascent AI	0
Ambient Insight Engine	0

Cost Estimate

Cost Estimates

Cost Category	Estimated Cost (Initial)	Estimated Cost (Annual)
Product Development	$350,000 - $600,000	-
Operational Costs	-	$150,000
Marketing and Sales	-	$300,000
Administrative Costs	-	$200,000
Implementation and Onboarding	-	$100,000
Contingency and Miscellaneous	-	$50,000
Total	**$350,000 - $600,000**	**$800,000/year**

Product Development Costs

- **Software Development**
  - Front-end and back-end development
  - AI model development and integration
  - Data integration with ERP systems
- **Design and Prototyping**
  - User interface and experience design
  - Prototyping and user testing
- **Estimate**:
  - Software Development: $300,000 - $500,000
  - Design and Prototyping: $50,000 - $100,000
  - Total Development Costs: $350,000 - $600,000

Operational Costs

- **Hosting and Infrastructure**
  - Cloud services (e.g., AWS, Google Cloud)
  - Data storage and processing
- **Maintenance and Support**
  - Regular software updates
  - Customer support services
- **Estimate**:
  - Hosting and Infrastructure: $50,000/year
  - Maintenance and Support: $100,000/year
  - Total Operational Costs: $150,000/year

Marketing and Sales Costs

- **Marketing Campaigns**
  - Online advertising (Google Ads, LinkedIn)
  - Content creation (blogs, whitepapers, case studies)
- **Sales Team**
  - Salaries and commissions
  - Sales tools and CRM systems
- **Estimate**:
  - Marketing Campaigns: $100,000/year
  - Sales Team: $200,000/year
  - Total Marketing and Sales Costs: $300,000/year

Administrative Costs

- **Salaries**
  - Management and administrative staff
- **Office Expenses**
  - Office rent, utilities, supplies
- **Estimate**:
  - Salaries: $150,000/year
  - Office Expenses: $50,000/year
  - Total Administrative Costs: $200,000/year

Implementation and Onboarding Costs

- **Client Onboarding**
  - Initial setup and configuration for clients sessions and documentation
- **Customization**
  - Tailoring the product to specific client needs
- **Estimate**:
  - Client Onboarding: $50,000/year
  - Customization: $50,000/year
  - Total Implementation and Onboarding Costs: $100,000/year